THE ARAB CORPORATION FOR SPACE COMMUNICATIONS*

AMIRI DECREE

AMIRI DECREE NO. 25/1976 CONCERNING THE RATIFICATION OF THE AGREEMENT OF THE ARAB CORPORATION FOR SPACE COMMUNICATIONS

We, Isa bin Salman Al Khalifa, Amir of the State of Bahrain, after reviewing Article 37 of the Constitution and the Amiri Decree, No. 4/1975 and the Agreement of 'The Arab Corporation' for Space Communications and on the recommendation of the Minister of Communications and after the approval of the Council of Ministers hereby decree:

Article 1

The Agreement of The Arab Corporation for Space Communications herewith attached, and signed in Cairo on 22nd Jumda Al Thaniya 1396 H. corresponding to 20th June 1976 is herein ratified.

Article 2

The Minister of Communications shall implement this decree and it shall be published in the Official Gazette.

Signed: Isa bin Salman Al Khalifa
Amir of the State of Bahrain

Issued at Rifa's Palace on
18 Rajab 1396 H.
15 July 1976

THE AGREEMENT OF THE ARAB CORPORATION FOR SPACE COMMUNICATIONS

The Governments of :

The Hashemite Kingdom of Jordan
The State of Bahrain
The Democratic People's Republic of Algeria
The Democratic Republic of Sudan

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*Taken from The Official Gazette, Issue No. 1185, July 22, 1976. Provided through the courtesies of Gulf Public Relations, Translation Service. For text, see also U.S. Senate, Committee on Aeronautical and Space Sciences, Space Law: Selected Basic Documents, 94th Cong., 2d Sess. 400-416 (Comm. Print, 1976).

The Democratic Republic of Somalia
The Sultanate of Oman
The State of Kuwait
The Libyan Arab Republic
The Kingdom of Morocco
The Yemen Arab Republic
Palestine
The United Arab Emirates
The Republic of Tunisia
The Kingdom of Saudi Arabia
The Syrian Arab Republic
The Republic of Iraq
The State of Qatar
The Republic of Lebanon
The Arab Republic of Egypt
The Islamic Republic of Mauritania
The Democratic People's Republic of Yemen

desiring to establish an Arab Satellite network and to use an Arab satellite as a means of serving the purposes of communications, information, culture, education and any other services for which the above-mentioned network could be utilized and towards the fulfillment of the objectives of the Arab League Charter, have sanctioned the following regulations:

Article 1

Definitions

For the purposes of this agreement, the following terms shall convey the meaning indicated alongside the said terms.

a) *The Agreement:* The agreement to establish the Arab Corporation for Space Communications and the appendices attached thereto.

b) *The Corporation:* The Arab Corporation for Space Communications.

c) *The Member:* The State ratifying the agreement to establish the corporation or that which joins it.

d) *The General Body Meeting:* The general body meeting of the corporation.

e) *The Board of Directors:* The board of directors of the corporation.

f) *The Executive Committee:* The executive committee of the corporation.

g) *The General Manager:* The General Manager of the corporation.

h) *Space Sector:* Communication satellites, monitoring and telemetery control and observation equipment and the relevant installations and the necessary equipment to operate the satellites.

i) *Telecommunications:* Any transmission or reception of signals, signs, writing, photographs, sounds and information of any kind, whether by means of wire, wireless, optical or by means of any other electromagnetic systems.

j) *General Services of Telecommunications:* The stationary or mobile telecommunication services which can be obtained and made available to the public by means of satellites such as telephone, telegraphy, telex, transmission of photographs and radio and television programmes between ground stations authorized by the corporation and which are affiliated to the Satellite Sector of the Corporation to be thence transmitted to the public and the circuits hired by any of these purposes.

k) *Specialized Telecommunication Services:* Telecommunication services that can be made available by means of satellites besides those defined in clause 'j' of this article including wireless navigation services, radio, television satellite services, space research services, meteorological services and earth resource services.

l) *The User:* He who benefits from the services of the corporation but not a member thereof.

m) *Ground Stations:* Any stationary or mobile ground installations installed for the purpose of transmission or reception via the Arab Satellite excluding monitoring telemetery control and observation stations.

Article 2

The Establishment of the Corporation:

An independent corporation shall be established within the framework of the League of Arab States, by the name of The Arab Corporation for Space Telecommunications.

The corporation shall have a full legal character and has the right, within its objects, to conclude and contract agreements and possess movable and immovable property and dispose of them and the right to litigate and undertake all legal measures.

Article 3

Objects and Activities of the Corporation

1. The corporation aims to provide and set up an Arab Space Sector for general and specialized services in the field of telecommunications for all member states of the Arab League in accordance with technical and economic criteria accepted in the Arab and international quarters.

2. Besides the realization of the said objects the corporation may undertake the following activities:

   a) Assisting Arab countries financially or technically in designing and constructing ground stations.

   b) Undertaking research and special studies concerning space science and technology.

   c) Encouraging the establishment of industries necessary to supply installations to the space sector and ground stations in the Arab states.

   d) Undertaking television and radio transmissions and telecasting among departments and organizations concerned in the Arab states, via the Arab Satellite network and laying down regulations organizing the use of T.V. and radio channels in such a manner as to satisfy the local and collective needs of the Arab states.

3. Any other activities that serve the objects of the corporation besides those already stated, provided that they are approved by the General Meeting of the corporation on the recommendation of one member state of the corporation or more or of the Board of Directors.

Article 4

Membership, Head Office and Main Control Station

1. Membership of the corporation shall be for Arab states which are members of the League of Arab States and which subscribed to the capital of the corporation.

2. The Head Office of the corporation shall be in the city of Riyadh in the Kingdom of Saudi Arabia and it is competent to the corporation to have branches in the member Arab States.

3. The Main Control Station shall be in the Kingdom of Saudi Arabia.

Article 5

The Capital of the Corporation

The capital shall be US$ 100 million divided into 1,000 shares, the value of each share is US$ 100,000. The capital may be increased on the recommendations of the Board of Directors and the approval of the General Body Meeting.

Article 6

Subscription to the Capital of the Corporation

1. The contribution by the member states to the capital of the corporation shall be in accordance with the proportions set out in the appendix attached to this agreement.

2. However, after the lapse of two years from the date of commencement of the operations of the space sector, the following points shall be given effect to:

   a) The subscription shall be in proportion to the actual use of the space sector by member states.

   b) The states, which have not yet used the space sector on account of the incompletion of their ground stations, shall have the minimum subscription.

3. A member state of the corporation may call for its subscription, as is set out in the appendix attached to this agreement, to be reduced after submitting an application to the General Body Meeting which will decide upon the redistribution of the shares thus waived.

4. In all cases the minumum subscription shall be of one share.

5. The proportional subscription set out in the appendix attached to this agreement, shall be reviewed in the event of a new member joining the corporation or the increase of the capital or the withdrawal of a member after a resolution by the General Body Meeting.

Article 7

Paying the Value of Shares

1. 5% of a member's subscription shall be paid on ratifying the agreement.

2. The remainder of the value of the shares shall be paid in accordance with a schedule drawn by the Board of Directors and approved by the General Body Meeting.

3. The Members shall settle amounts due within 60 days from the date of their maturity. In the event of an amount overdue a member is bound to pay interest on the amount overdue at the rate of 1% for every month on the said basis.

Article 8

Subscriber's Profits

The profits of the corporation shall be distributed among the member states in accordance with the proportion of their shares and the regulations of the Executive Committee.

Article 9

The Organs of the Corporation

The corporation shall consist of:

1. The General Body
2. The Board of Directors
3. The Executive Body

Article 10

The General Body

1. The General Body shall comprise the ministers in charge of telecommunications in the Arab member states or those whom they deputise. Each member shall have one vote.

2. The Chairmanship for the General Body shall be on an alternate basis according to alphabetical order of the names of the member state.

3. The General Body shall hold an annual ordinary session in April at the invitation of the General Manager from the Head Office of the Corporation. The General Body may hold its meetings at a branch office or in a member state at its invitation.

4. The General Body may hold an extraordinary session at the request of the Board of Directors or on a requisition by one member or more submitted to the General Manager and seconded by one third of the members. In the requisition the purpose for the calling of an extraordinary meeting shall be explicitly stated. The General Manager shall make the necessary arrangements to hold the meeting within 3 months of receiving the requisition.

5. The General Body Meeting shall be valid only if attended by the majority of the members.

6. The resolutions of the General Body Meeting shall be taken on major issues by a two thirds majority of the members present and voting. In procedural matters, resolutions shall be adopted by an ordinary majority of the members present and voting. The General Body shall adopt a resolution whether an issue is a major or a procedural one by the ordinary majority of the members present and voting. In the event of a tie the chairman shall have a casting vote.

7. The following shall be invited to attend the General Body Meeting as observers:

   The League of Arab States, The Arab States Broadcasting Union, The Arab Union of Telecommunications, The Arab Organization for Education, Culture and Science.

   Organizations with objects connected to those of the corporation may be invited to attend the meeting after securing the consent of the General Body.

8. The General Manager shall undertake the functions of the General Secretary of the General Body.

Article 11

Functions of the General Body

The General Body is the supreme authority of the corporation and shall undertake the functions stipulated in Article 3 of this agreement and any other function necessary for the attainment of the objects of the corporation. The General Body shall undertake the following in particular:

1. Laying down the general policy of the corporation and the drawing up of plans which help to achieve the aims and activities of the corporation as stipulated in this agreement and to pass resolutions and recommendations to the Board of Directors in this respect.

2. Sanctioning the necessary projects to expand and develop the space sector and its requirements.

3. Setting the regulations pertaining to the determination of charges for using the space sector for all types of services on the recommendations of the Board of Directors.

4. Setting up the standards and general rules which must be maintained in the ground stations so as to make them suitable to communicate with the space sector as recommended by the Board of Directors.

5. Studying the reports of the Board of Directors on the various activities of the corporation and proposing relevant recommendations.

6. Organizing the relations of the corporation with international organizations and setting up the necessary principles for this purpose in accordance with general international regulations.

7. Settlement of disputes which may arise between the corporation and a member or more in accordance with Article 19 of this agreement.

8. Considering complaints and disagreements arising from the use of the Arab Space network which are submitted to it by the members directly or through the Board of Directors.

9. Adopting resolutions concerning the withdrawal of a member.

10. Setting up regulations with respect to financial settlements in the event of a new member joining or the withdrawal of a member or the re-allocation of shareholding proportions.

11. Suspension of membership rights of a member who fails to settle his financial obligations after a year of their falling due until these obligations are met.

12. Ratifying the General Budget and Balance Sheet of the Corporation.

13. Approval of the recommendation of the Board of Directors concerning the appointment of the General Manager.

14. Studying the reports submitted by the Board of Directors concerning future plans and the amounts allocated to them and adopting resolutions regarding them.

15. Adopting resolutions concerning investment shares on the recommendation of the Board of Directors.

16. Adopting necessary resolution concerning representation in the Board of Directors under Article 12 of this agreement.

17. Election of members of the Board of Directors as stipulated in clause 'B' of Article 12 of this agreement.

18. Appointment of auditors annually on the recommendation of the Board of Directors.

19. Approval regarding increase of the capital of the corporation on the recommendation of the Board of Directors.

20. Studying and approving proposals for the amendment of corporation's agreement.

21. Authorizing the Board of Directors to undertake some of its functions.

22. Sanctioning the time table suggested by the Board of Directors concerning the settlement of members' subscriptions under Article 7 of this agreement.

23. Sanctioning of financial and administrative regulations as suggested by the Board of Directors.

24. Drawing up the code of conduct of the General Body.

Article 12

The Board of Directors

1. The Board of Directors shall be comprised of 9 members who shall be elected as follows:

   a) The first five members according to the proportion of their shareholding in the capital of the corporation. If more than five members are equal in their shareholding proportions, the General Body shall elect the required number from amongst them.

   b) Four members shall be elected by the General Body from the other members on an alternate basis for an unrenewable period of two years.

2. The Board of Directors shall elect from amongst its members a chairman and a vice-chairman. The term of their office shall be determined by the regulations governing executive authority.

3. The Board of Directors shall hold its meetings in accordance with the provisions of the regulations governing executive authority.

4. The meetings of the Board of Directors shall be held at the Head Office of the corporation or at any of its branches unless an invitation has been extended by a member state.

5. The meeting shall have the requisite quorum if a minimum of seven of its members are present. If there is no quorum, the Board of Directors shall meet after 2 weeks from the date appointed for the original meeting. If again the quorum could not be maintained the General Manager shall call an extraordinary General Body Meeting after a month from the date appointed for the meeting of

the Board of Directors. The General Body Meeting shall undertake the functions of the Board of Directors at such meetings.

6. Each member shall have one vote.

7. The General Manager shall attend the meeting of the Board of Directors but he shall not be entitled to vote.

8. An open meeting of the Board of Directors will be attended, as observers, by a representative of the League of Arab States, the Arab Union for Telecommunications, the Arab States Broadcasting Union and the Arab Organization for Education, Culture and Science.

9. The Board of Directors shall have the right to invite whom it deems fit to attend its meeting.

Article 13

The Functions of the Board of Directors

The Board of Directors undertakes to provide, utilise and maintain the space sector and undertakes to execute the policies entrusted upon it by the General Body particularly:

1. Implementation of the General Policy and plans drawn by the General Body.

2. Execution of the policies, plans and programmes related to the design, construction, operation, development and maintenance of the space sector and undertaking any activities the corporation is authorized to carry out in accordance with the agreement and the resolutions of the General Body.

3. The periodical determination of charges for using the space sector for all kinds of services according to the suggestions of the Executive Body and the regulations approved by the General Body Meeting.

4. Proposing criteria and general rules which shall be maintained in the ground stations so as to be suitable to communicate with the space sector and submitting them to the General Body for approval.

5. Submitting reports to General Body concerning:

   a) Proposed activities of the corporation.

   b) Implementation programmes, future programmes and financial estimates thereto.

6. Adoption of standards and procedures in accordance with the general rules laid down by the executive body concerning sanctioning ground stations to communicate with the space sector and verifying their specifications to coordinate their communication with the space sector after these standards and procedures have been approved by the General Body.

7. Adoption of general rules which govern the distribution of the space sector capacity in accordance with the proposals of the Executive Body.

8. Determination of investment shares and referring them to the General Body.

9. Submission of annual report on the activities of the corporation, annual budget and the final account to the General Body.

10. Provision of information, within the limits of the corporation's activities, to a member who may ask for it so as to enable such member to meet his obligations which may exceed the jurisdiction of the Executive Body.

11. Proposal to increase the capital of the corporation.

12. Proposing the appointment of the auditors.

13. Appointment of the General Manager after the approval of the General Body in accordance with Clause 13 of Article 11, and terminating his services in accordance with Clause 3 of Article 15.

14. Determination of the remuneration of the General Manager.

15. Appointment of a deputy General Manager in the event of the General Manager's post falling vacant until a new General Manager is appointed at the next General Body Meeting.

16. Ratifying the appointment by the General Manager of high ranking employees who directly report to him.

17. Preparation of a time table of the payment of the value of shares and referring it to the General Body.

18. Approving applications to use the space sector.

19. Preparation of executive regulations and financial and administrative rules and referring them to the General Body.

20. Formation of necessary committees to undertake specific tasks to serve the objects of the corporation within the limits of its jurisdiction.

21. Naming organizations which may be necessary to be invited to attend its meetings.

22. Considering all reports, recommendations,and various views referred to it by the General Manager.

Article 14

The Executive Body

1. The Executive Body shall comprise a number of sectors and administrative units to be decided by the rules of conduct of the corporation.

2. The General Manager shall undertake the chairmanship of the Executive body. He shall be assisted by an adequate number of technical and administrative staff. This appointment will depend on a guarantee of their competence and efficiency. The principle of geographical representation regarding their appointment shall be adhered to as far as possible.

Article 15

The General Manager

1. The General Manager of the corporation shall be appointed by a three-year renewable contract.

2. The General Manager shall be the chairman of the Executive Body of the Corporation and its legal representative. He shall report to the Board of Directors.

3. The Board of Directors may decide to terminate the services of the General Manager. The reasons for such a decision shall be stated.

4. After the approval of the General Body the General Manager shall exercise his powers and functions laid down in the rules of conduct of the corporation.

Article 16

Prerogatives and Immunities

All the provisions of the Prerogative and Immunities agreement of the League of the Arab States passed as per the League's Council resolution No. 575 dated 10.5.1953 shall be applicable in the case of the Arab Corporation for space communication and also:

1. The corporation's monies, shares, property, assets, and equipment shall be exempted from all kinds of taxation; (whether direct or indirect) customs duties

and any other duties. Laws and orders passed to ban or restrict importation and exportation concerning that which the corporation imports or exports such as instruments and special material needed for the corporation's business shall not apply to those of the corporation.

2. The corporation, its monies and financial transactions shall be exempted from restrictions imposed on currency and any other restrictions enforced in the country of the Head Office of the corporation or in the locations of its branches and the places where it has activities in the member Arab States.

Article 17

Withdrawal

1. Any member may withdraw from the corporation after submitting an official letter to the Secretary General of the League of the Arab States who, in turn shall notify the member states and the corporation thereof.

2. The withdrawal shall take effect only after the lapse of one year from the date of its submission to the Secretary General of the League of the Arab States. The said letter may be withdrawn before the expiry of this period.

3. In accordance with Clause 2 of this Article the withdrawing member shall remain responsible for all the obligations which were contracted before the discontinuance of his membership in accordance with Clause 2.

4. On the discontinuance of membership, the corporation shall settle the accounts of the member according to the regulations of the corporation with respect to executive authority.

5. On the discontinuance of membership, the General Body shall amend the shareholding proportions set out in the appendix attached to this agreement in compliance with Article 6 of this agreement.

Article 18

Amendment

1. The agreement to establish the corporation may be amended on the recommendation of one or more of the members to be submitted to the General Manager and approved by one third of its members or at the proposal of the Board of Directors. The General Manager shall notify all the member states of the said proposal.

2. The General Body shall consider the proposed amendment at its first ordinary meeting held after the submission of the proposed amendment.

An extraordinary meeting may be called to consider such proposal in accordance with Article 10 of this agreement, provided that the proposed amendment has been circulated among the members ninety days before the date of such meeting.

3. The General Body shall approve the amendment by a majority of two thirds of its members.

4. The amendment shall be enforced after a third of the member states have handed the documents ratifying the amendment, provided that their proportion of shareholding in the capital of the corporation is not below 60%.

Article 19

Settlement of Disputes

The General Body of the corporation shall adjudicate upon disputes between the corporation on the one hand and one or more members on the other or disputes amongst the members themselves. The resolutions adopted by the General Body shall come into force for a period not more than ninety days of the date of its issuance.

Article 20

Ratification

1. Each Arab State shall ratify the agreement with respect to the establishment of the corporation according to its own constitutional system. The ratification documents shall be lodged with the League of the Arab States which shall prepare minutes of acknowledgment of the ratification document of each member and notify all Arab States thereof.

2. An Arab state which is not a signatory to this agreement may join it and its application document shall be lodged in accordance with procedures stipulated in clause 1 of this Article.

Article 21

Reservation

The ratification of this agreement or the joining of it, shall be viewed for all purposes as a complete adherence to all its provisons and shall not be subject to any reservations.

Article 22

Operation of this Agreement

1. This agreement shall come into force after sixty days from the date on which seven Arab States have lodged with the League of the Arab States their ratification documents of this agreement.

2. The agreement shall come into force, as far as each member is concerned, from the date of lodging their ratification documents with the League of the Arab States.

3. The Secretary General of the League of the Arab States shall undertake to invite members to subscribe to the corporation's capital and the opening of the initial account of the corporation within thirty days of the agreement coming into force.

4. The Secretary General of the League of the Arab States shall summon the constituent meeting of the General Body within two months from the date of the enforcement of the agreement.

Article 23

Corporation's Relation with the League of the Arab States

Cooperation shall be maintained between the corporation and the League of the Arab States and its organizations for the attainment of the aims and objectives of the Arab League Charter and the aims and objectives of this agreement.

Towards the foregoing, the authorized representatives, whose names are affixed hereunder have signed this agreement on behalf of their governments.

This agreement is written in Arabic in Cairo on Wednesday 14 Rabi Al Akhar 1396 H. corresponding to 14th April 1976 A.D. from an original copy which is lodged with the General Secretariat of the League of the Arab States and a duplicate of which shall be given to each contracting country.

On behalf of the governments of:

The Hashemite Kingdom of Jordan - Mohammed Adhoob Al Zain
The United Arab Emirates - Mohammed Sa'id Al Mulla
The State of Bahrain -
The Republic of Tunisia - Abdulla Farahat
The Democratic People's Republic of Algeris - Abdul Kadir Buhairi
The Kingdom of Saudi Arabia - Alawi Darwish Kayal
The Democratic Republic of Sudan - Mostapha Awad Allam
The Syrian Arab Republic - Omar Al Sibba'i
The Democratic Republic of Somalia - Abdul Rahman Farih Ismail

The Repubilc of Iraq - Askar Mahmood Rida
The Sultanate of Oman - Salem bin Nasir
The State of Kuwait - Sulaiman Hamood Al Khalid
The Republic of Lebanon -
The Libyan Arab Republic - Noori Al Fairoori Al Madani
The Arab Republic of Egypt - Abdul Fattah Abdulla
The Kingdom of Morocco -
The Islamic Republic of Mauritania -
The Yemen Arab Republic - Hussain Al Ghaffari
The Democratic People's Republic of Yemen - Ahmed Saleh Abdo
Palestine - Hamed Abu Sitta

APPENDIX

TABLE OF SUBSCRIPTION TO THE CAPITAL OF THE ARAB CORPORATION FOR SPACE COMMUNICATIONS CALCULATED ON THE BASIS OF THE CAPITAL OF 100 MILLION DOLLARS

S. No.	State	Percentage of Shareholding	Amount of Subscription in Million Dollars
1.	Kingdom of Saudi Arabia	26.2	26.2
2.	Libyan Arab Republic	18.5	18.5
3.	Arab Republic of Egypt	10.4	10.4
4.	State of Kuwait	8.3	8.3
5.	United Arab Emirates	6.6	6.6
6.	Republic of Lebanon	6.3	6.3
7.	State of Qatar	5.0	5.0
8.	State of Bahrain	4.0	4.0
9.	Hashemite Kingdom of Jordan	3.3	3.3
10.	Republic of Iraq	2.6	2.6
11.	Democratic Republic of Sudan	2.1	2.1
12.	Syrian Arab Republic	1.7	1.7
13.	Sultanate of Oman	1.0	1.0
14.	Democratic People's Republic of Algeria	0.9	0.9
15.	Yemen Arab Republic	0.7	0.7
16.	Democratic People's Republic of Yemen	0.6	0.6
17.	Republic of Tunisia	0.6	0.6
18.	Kingdom of Morocco	0.5	0.5
19.	Democratic Republic of Somalia	0.3	0.3
20.	Islamic Republic of Mauritania	0.2	0.2
21.	Palestine	0.2	0.2
	Total	100%	100